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VENTURE CAPITAL

Tariffs, exit drought and fundraising woes hold back European VC

By [Leah Hodgson](#)

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Dealmaking in Europe's VC market is on pace for its fourth consecutive year of decline despite early hopes for a recovery.

Europe started 2025 on a solid footing with deal value reaching its highest quarterly figure in more than a year in Q1. Its fortunes, however, turned in the second quarter as

both deal value and count dropped by over 10%.

According to PitchBook’s [Q2 2025 European Venture Report](#), €29.2 billion (about \$34.1 million) was invested in an estimated 5,362 deals in H1. This represents a 3.7% decline in deal count and a 6.2% decline in value compared to H1 2024.

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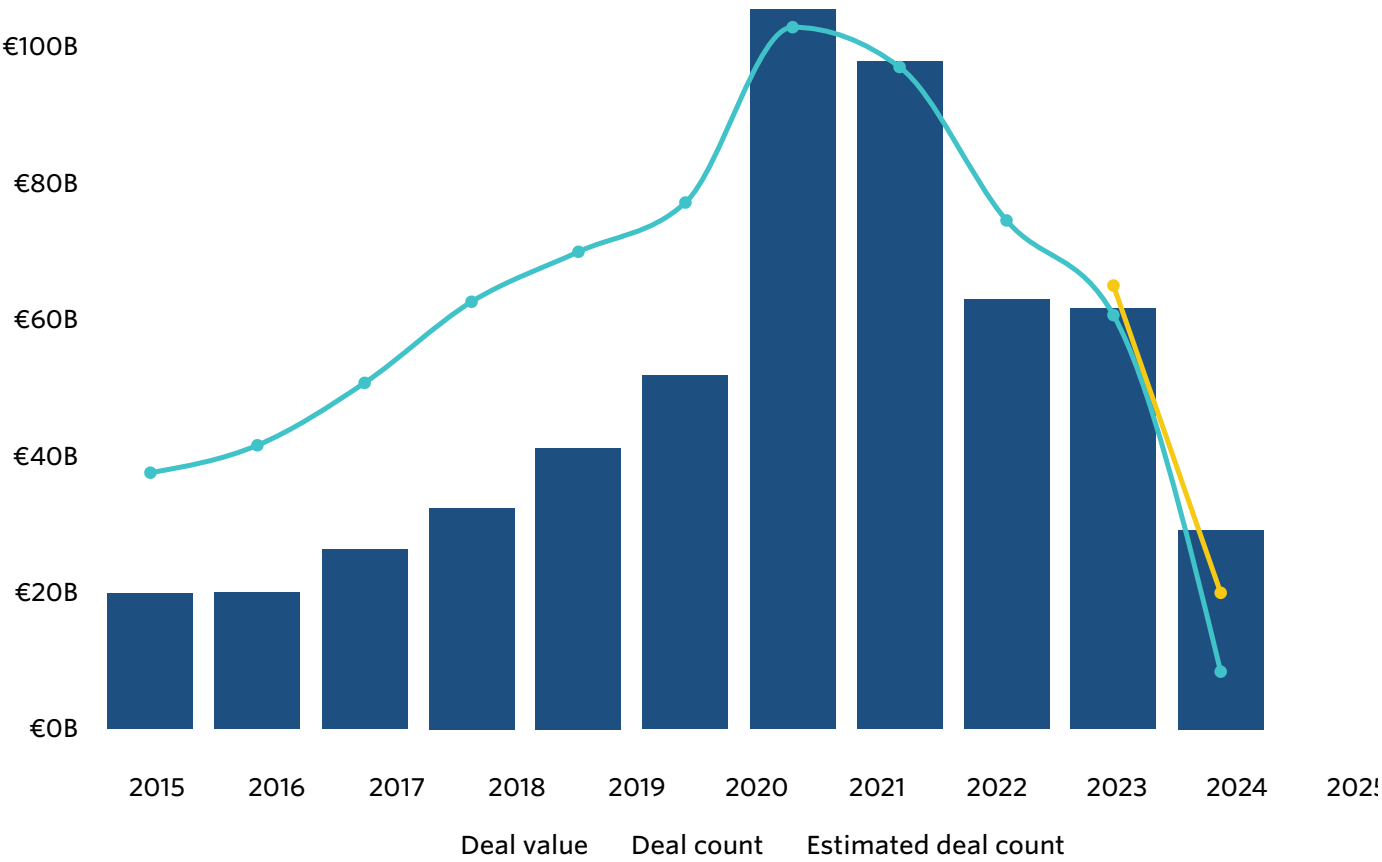
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Failure to launch

European VC dealmaking is currently pacing below last year's levels



Source: [Q2 2025 European Venture Report](#)
As of June 30, 2025



The return to growth that was expected this year due to falling interest rates and inflation is not projected for Europe’s VC market.

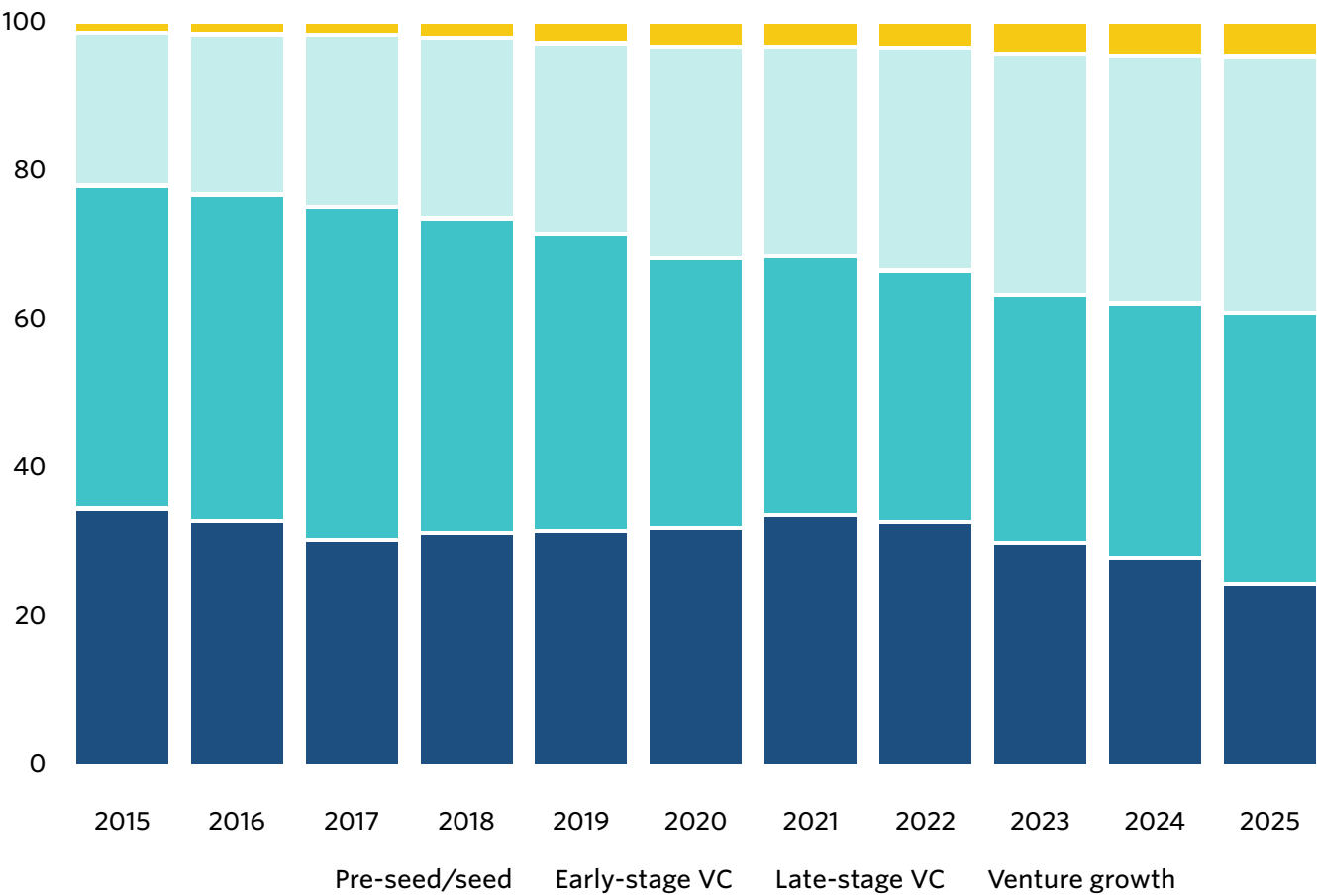
Instability fueled by the US administration's [“Liberation Day” tariffs](#) is a key culprit for the course reversal.

With the volatility in public markets and confusion over the size and impact of the levies, investors have been less keen to put money on the table, especially for the riskier earlier stages. Pre-seed and seed had the biggest year-over-year drop in dealmaking; however, the declines have been across all stages.

Investors have been more inclined to seek safety in larger, more mature deals. More than 80% of the deal value in H1 was from rounds worth more than €10 million.

Seed squeeze

The retreat in VC deals has hit the earliest stages the hardest



Source: [Q2 2025 European Venture report](#) • Geography: Europe
As of June 30, 2025



AI has been somewhat exempted from Europe’s dealmaking woes, with deal value in the vertical pacing 19.8% above last year’s total at €10.1 billion.

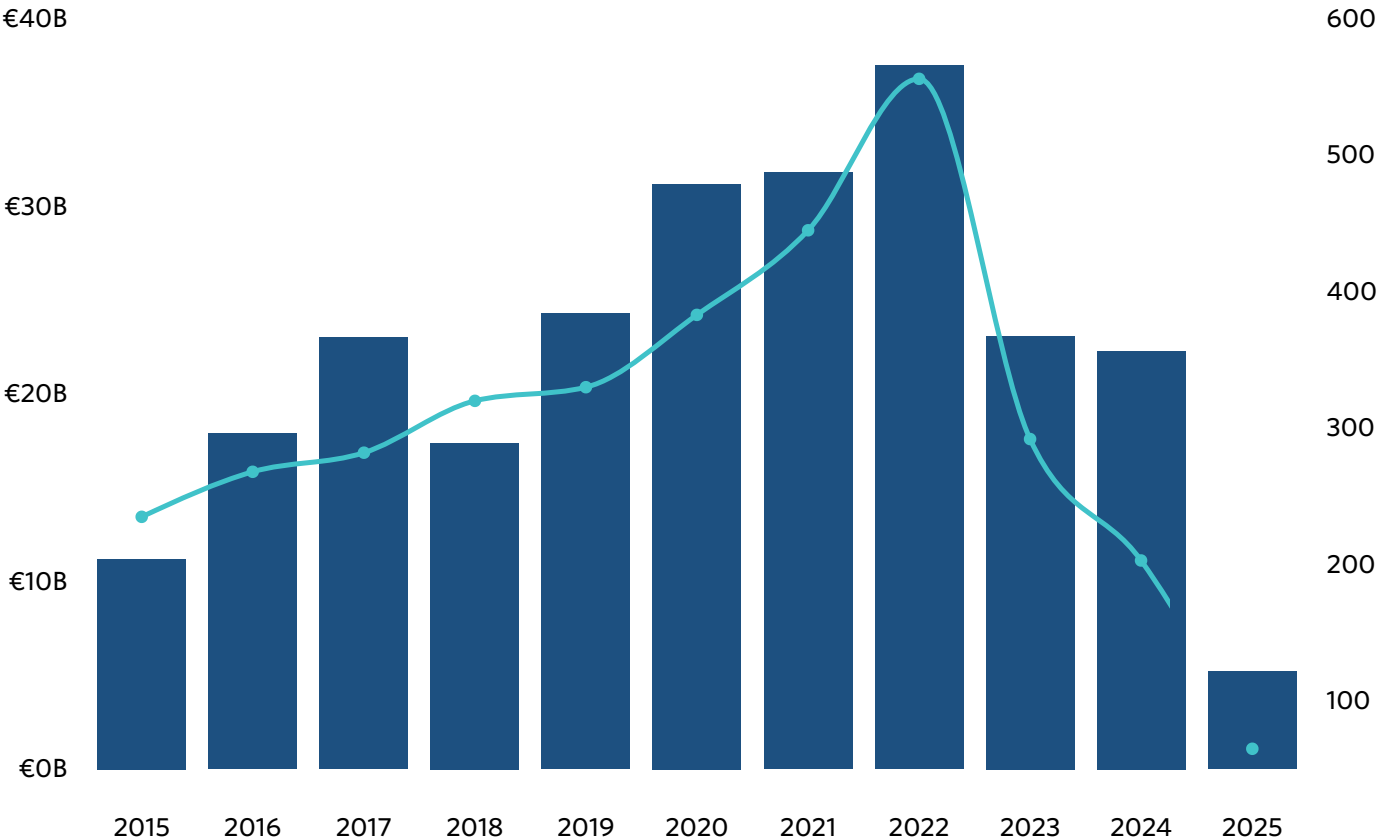
At the current run rate, AI investment could reach a new record. Half of Q2’s top 10 rounds were for AI-related startups, and the space now accounts for over a third of all European VC deal value.

However, deal count is not following the same trend, and Europe’s market is only a tenth of the size of the US, which has already broken the \$100 billion barrier for the second time.

The pullback in dealmaking is directly linked to the lack of fundraising and exit activity in recent years.

Dry powder, damp flow

European VC fundraising remained sluggish in H1 2025 as LP appetite stayed cautious



Source: Q2 2025 European Venture Report
As of June 30, 2025



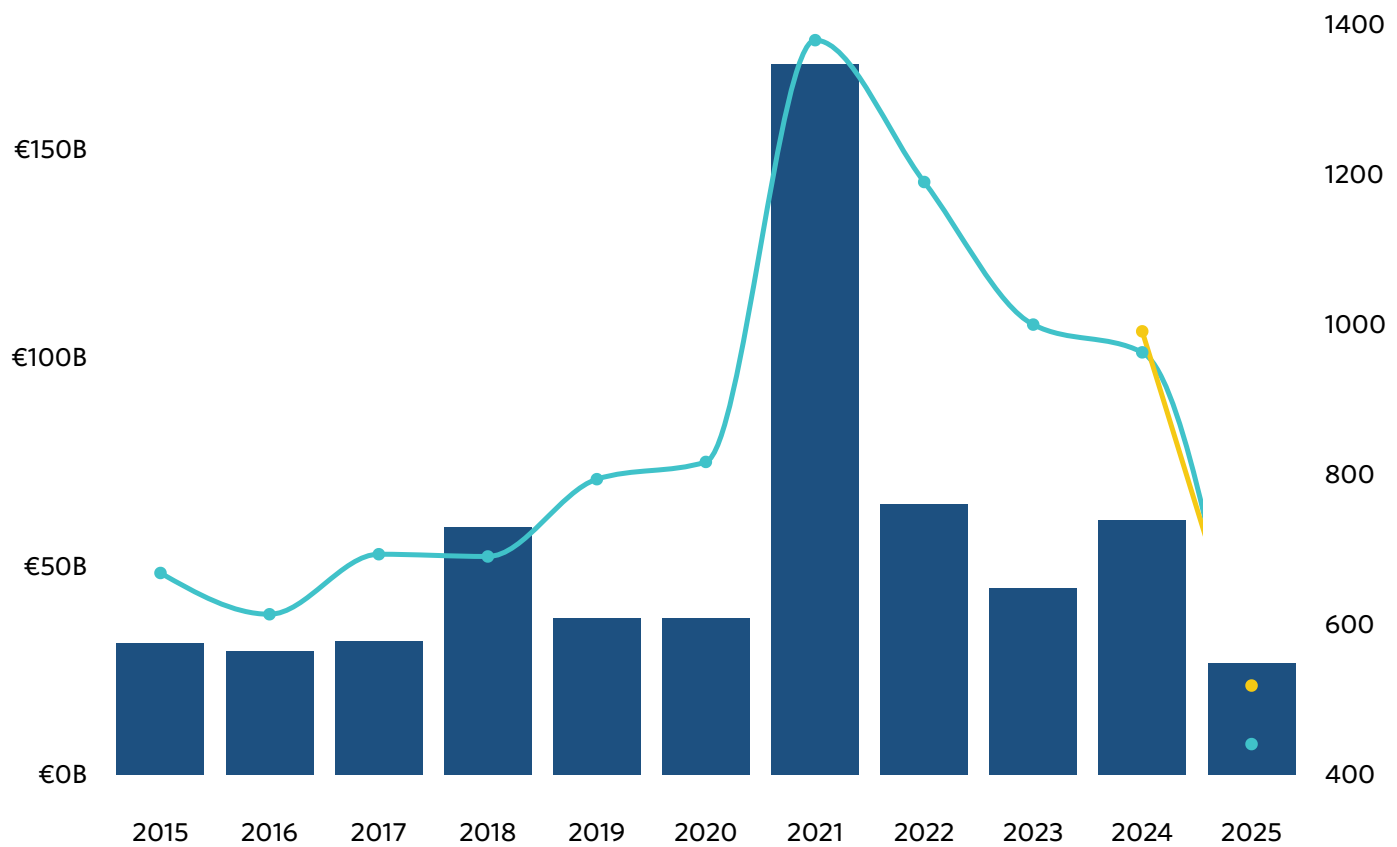
Only 65 vehicles worth €5.2 billion closed in Europe in H1, with the year likely to be one of the worst in a decade for fundraising. The current run rate implies a 53.1% YoY decline in capital raised compared to 2024, which had the lowest annual total since 2018.

As VC firms struggle to raise new funds, they’re left with more limited dry powder, constraining their ability to make new investments.

The drop in exits in recent years has further compounded the issue. The expectation that IPO markets would open this year was stymied by the volatility from US tariff policy, and VCs are still finding it difficult to return capital to their LPs.

Exit drought

VC-backed exits in Europe remained subdued in H1 2025 amid continued market uncertainty



Source: [Q2 2025 European Venture Report](#)
As of June 30, 2025

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Only four public listings closed in H1, with investment platform [eToro](#)'s €3.5 billion IPO being the largest. Acquisitions are also pacing below last year's levels, both in terms of count and value.

Buyouts, on the other hand, are a bright spot. Some 117 were completed in the first half of the year, implying an annual increase of 7.3% over 2024.

On the whole, 2025 is likely to be another year of subdued exit activity and depressed fundraising. Absent a meaningful recovery in both, dealmaking will remain muted.

Featured image by mustafaU/Getty Images

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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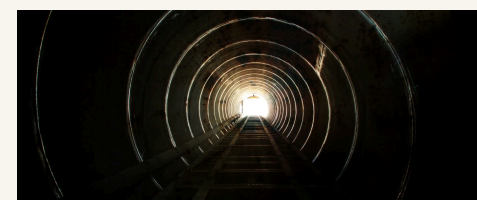
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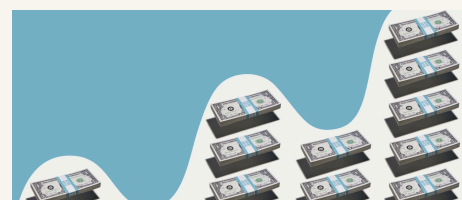


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